

these new products was just the first heavy drain on capital needed to finance growth. There followed the heavy marketing expense needed to introduce them to the customer. With success, plant expansion was needed to service a growing volume. Once the new line was on its way, there were further capital requirements for the increased inventories and accounts receivable which, in most cases, grow almost in direct proportion to the volume of the business.

There seemed a natural fit of interest between those firms with bountiful investment opportunities and certain investors who sought to make the greatest possible profit in relation to the risk involved and who neither needed additional income nor wanted to pay unnecessary taxes. Such investors should, I believe, mainly confine investments to non-dividend-paying companies with strong earning power and with attractive places to reinvest their earnings. These were the clients I sought to serve.

Recently, however, the situation has become less clear-cut. Institutional holders have become an increasingly dominant force in day-to-day stock transactions. Institutions such as pension and profit sharing funds pay no income tax on their dividends. Many of them as a matter of policy will not invest in a company unless it pays some dividend, no matter how small. Attracting and holding these buyers have caused many companies with unusual prospects to initiate modest dividend payments of rather small percentage total annual earnings. Managers of some would-be growth companies have concurrently reduced their payout dramatically. Today, the skill in investing retained earnings wisely has become a more critical factor in separating the unusual company from the pack.

For these reasons, I have come to believe that the most that can be said on this subject of dividends is that it is an influence that should be downgraded very sharply by those who do not need the income. In general, more attractive opportunities will be found among stocks with a low dividend payout or none at all. However, so general is the feeling among those who determine dividend policies that paying out dividends is beneficial to the investor (as it is for some) that occasionally I have found truly attractive opportunities among higher dividend payout companies, although this has not happened very often.